

Land Bank Programmes



Eastern Cape



Business unit / Provincial Strategy



1. Overview

- SWOT analysis

2. Growth in Lending Investments

- FY19 Disbursements carried over from FY18
- FY19 Targeted sales

3. Contribute to social inclusivity & employment creation

- Accelerating loans to women & youth
- Accelerating employment opportunities

4. Client service

- Focus areas for the year

Business unit / Provincial Strategy



Overview

SWOT analysis: Unit / Province specific

Internal

Strengths:

- **Strong partnerships** with provincial Agri. Dept. Municipalities & Development agencies

Weaknesses:

- Limited footprint
- **Lean Human resource allocation**

External

Opportunities:

- Substantial **Land reform beneficiaries requiring production support** (Fish River farms, Gamtoos Citrus farmers.
- **Wine grapes** in Whittlesea, Apple (Deciduous) production in Gubenxa valleys (Ugie, Maclear, Elliot & Cala)
- Leverage on partnerships with Prov. Dept.- **Grant for blended finance**

Threats:

- Policy & **Legislative uncertainty**
- **Delays in project selection & approval** processes for grant support.
- **Water scarcity & low levels in dams(drought)**
- **Avian flu** (but immediately contained)



FY19 Disbursements carried over from FY18

- Transaction in cash commitments (detailed excel sheet to support)

No of clients	R value
23	R 67m

- Transaction disbursed (detailed excel sheet to support)

No of clients	R value
19	R38m

- Transaction in the pipeline / early review (detailed excel sheet to support)

No of clients	R value
18	R 110m

Growth in lending investments continue



FY19 Targeted sales

- Stakeholder strategy

Stakeholder	Objective	Planned initiatives	Committed outcome
• Provincial DRDAR	• Collaborative project assessment & Funding	• Develop an MOU • Develop a central fund • Joint assessment of projects RFP's	Signed MOU spelling roles & collaboration areas Land Bank housing the project funds
• DRDLR, DLAC, DAMC, Agri-Parks , Development Agencies, District & Local municipalities	. Alignment of development support land reform of projects . Leverage on state & Municipal land	• Bilateral & Fora meetings • Joint Project identification & assessment	• Joint funding of Bankable projects

Growth in lending investments continue



- Strategic commodity opportunities / diversification

Commodity	Opportunity	Planned initiatives	Committed outcome
Grain , (R15m) Macadamia (R18m) Cash Cropping (R20m) Stock production (R40m)	• To leverage on rural commercial projects	• Regular visits to district Dev Agencies • Identify project champions • EC Macadamia PTY,	• 4000 ha to plant maize in Chris Hani. Bankable project (See list of projects)
Wool, mohair , (R10m) meat, Dairy (R15m) & Poultry (R10m)	• Communal farmers & land reform beneficiaries in Amathole, Kouga and Sarah Baartman	• Support NWGA Dev programme. • Pursue various milk share ventures (Amadlelo, Grasslands)	• Bankable project (See list of projects)
Citrus (R40m)	• Municipal land in Sundays River, development of citrus farmers.	• Leverage on the Agri Park projects by attending meetings • Revisiting previously supported Dev, farmers ready for expansion.	• Bankable project for Pack house & new trees to be established (Three pence & KK 113 in Gamtoos & Sundays River valleys)
Forestry (R5m)	• Allignment with SAFCOL enterprize dev programme (Stutterheim)	• Identify potential black industrialists & communities for value add in	• Upstream processing opportunities from processed wood

Growth in lending investments continue



- Utilising supporting funds

Fund	Access / criteria	Planned initiatives	Committed outcome
Jobs Fund , (R 50m grant)	Match funding	• Liaise with National Treasury to access database of prospective applicants	• 100 land reform farm beneficiaries to receive rental & Approximately 300 jobs
Grant funding (R180 m)	Blended Funding	• Constant engagement with government dept. for projects to be funded.	• Joint project identification through RFP process (Prov Dep Agr)
Enterprise Development Fund (R15m)	Support Funding	• Liaise with DTI for funding opportunities	• Support vegetable processing & maize processing (DICLA , IKEPU CO-OP)

Contribute to social inclusivity & employment creation



Development impact	Opportunities	Planned initiatives	Committed outcome
Women & youth	DICLA cash crop projects (Whittlesea)	- Farm visit done - collecting docs for pre-screening & application	Medium term loan for tunnels construction for R12m to be syndicated with a R3m DTI grant
	Mceula Project (Whittlesea)	- Visited client and regular engagements as part of pre-screening. - Engagement of Chris Hani Dev Agency & DRDAR to source grant funding in progress	Land Bank to finance the production inputs, working capital for R500k and the medium term loan for purchase of livestock, to be co-funded with grant for infrastructure.

Development impact	Opportunities	Planned initiatives	Committed outcome
Employment	FT Farming Projects	Already in the process of assessing application and collecting documents	On disbursement project will create 15 permanent jobs with 4 youths trained in managerial roles
	DICLA cash crop & livestock farming	Regular engagement with client to offer project finance for new rural projects that he contracts with, eg, Mahlamvu agri project (Mqanduli)	Appointment of young graduates from Agricultural institutions in the EC for internship & permanent placement
	Agri-BEE Beef Fund	Already with credit to secure approval	On disbursement it will create 300 direct jobs.

- **Key concerns that result in complaints**
 - . documentation required for all application types (incl repeat business)
 - . Intermediary services not offering proper support function

